



Northstar Analytics Paid Time Off Policy

Accrual eligibility requests approvals and recordkeeping

Policy owner	People Operations
Approval authority	Executive Leadership
Version	1.0
Effective date	September 26, 2026
Applies to	Eligible Northstar Analytics employees in the United States
Review cycle	At least annually and when legal or business requirements change

Controlling requirements. When applicable law or an approved local supplement provides greater paid-leave rights, the more protective requirement applies. Employees should contact People Operations when they are unsure which rule governs.

1 Policy Purpose

Northstar Analytics provides paid time off so eligible employees can rest, attend to personal and family needs, manage illness or appointments, and maintain sustainable performance. This policy explains how PTO is earned, requested, approved, recorded, carried over, paid, and handled when employment ends.

Northstar supports employees using earned PTO. Employees must provide notice when possible, managers must evaluate requests consistently, and no one may interfere with or retaliate for leave protected by law.

2 Scope and Relationship to Other Leave

This policy applies to regular full-time employees and regular part-time employees scheduled to work at least 20 hours per week in the United States. Employees outside the United States follow the policy or local terms issued for their work country. Temporary employees, interns, contractors, and employees scheduled below 20 hours per week do not participate unless required by law or stated in writing.

PTO is a combined bank that may be used for vacation, personal business, short-term illness, medical appointments, mental-health needs, caregiving, and other lawful purposes. Company holidays, bereavement leave, jury duty, voting leave, military leave, and approved family or medical leave are administered under the applicable policy or legal requirement and are not automatically deducted from PTO.

Where permitted, PTO may satisfy a paid-sick-leave requirement. If state or local law requires a separate bank, different accrual method, expanded permitted use, smaller usage increment, carryover, notice, documentation, or reinstatement rule, Northstar will administer the legally required benefit through a local supplement or payroll configuration.

3 Definitions

Term	Meaning
PTO	Accrued paid time that an eligible employee may use for approved or legally protected absences.
PTO year	The calendar year from January 1 through December 31.
Scheduled workday	The hours an employee is expected to work on a particular day under the approved schedule.
Continuous service	Time employed by Northstar without a break in service, adjusted where law or written company terms require.
Available balance	Accrued PTO posted in the approved timekeeping system, less PTO already used or committed.

4 Eligibility and Accrual

Accrual start and use date

Eligible employees begin accruing PTO on their first day of employment. Accrued PTO becomes available for use after 30 calendar days of employment, unless applicable law requires earlier use. Employees continue accruing during paid work and paid leave. Accrual generally pauses during unpaid leave unless law or an approved leave term requires otherwise.

Annual accrual schedule

Continuous service	Annual PTO	Equivalent days	Maximum balance
Start through 2 years	120 hours	15 days	180 hours
3 through 5 years	160 hours	20 days	240 hours
6 years or more	200 hours	25 days	300 hours

The equivalent-day figures assume an eight-hour workday and are provided for reference. Full-time employees receive a prorated portion of the annual amount each payroll period. Eligible part-time employees accrue a prorated amount based on their regular scheduled hours relative to a 40-hour schedule. Payroll may round periodic credits to the nearest hundredth of an hour; the annual entitlement controls.

An employee moves to the next service tier at the start of the first full payroll period after the applicable service anniversary. A change in scheduled hours affects future accrual and does not reduce the balance already earned.

Carryover and accrual cap

Unused accrued PTO carries forward from year to year. PTO does not expire at year-end. Accrual pauses when the balance reaches the maximum shown above and resumes after the employee uses enough PTO to fall below the cap. Northstar does not retroactively credit time that would have accrued while the employee was at the cap, unless required by law.

5 PTO Pay and Usage Rules

Pay rate

PTO is paid at the employee's regular straight-time base rate in effect when the PTO is used. PTO pay does not include overtime premiums, discretionary bonuses, commissions, shift differentials, expense allowances, or other supplemental payments unless applicable law or a written compensation plan requires inclusion. PTO hours do not count as hours worked for overtime calculations.

Permitted increments

Nonexempt employees may use PTO in increments of 15 minutes. Exempt employees normally use PTO in half-day or full-day increments; however, smaller increments will be allowed when required for protected leave, to preserve salary-basis compliance, or under applicable law. Employees may not record more PTO than the hours they were scheduled to work.

Available balance and advances

Employees may not use more PTO than their available balance. In limited circumstances, People Operations may approve an advance of up to 40 hours based on an urgent need and expected future accrual. An advance must be documented before use. Any recovery from wages requires the employee's written authorization and must comply with applicable law; otherwise, Northstar will not deduct a negative balance from final pay.

Holidays weekends and other paid time

A company holiday or nonscheduled day that occurs during approved PTO is not charged to the PTO balance unless the employee was scheduled to work that day. Employees may not receive duplicate pay for the same hours. Questions about coordination with disability benefits, workers' compensation, paid family leave, or another wage-replacement program must be directed to People Operations.

6 Request and Approval Procedure

Planned PTO

Length requested	Minimum advance notice
Up to 2 scheduled workdays	5 business days
3 through 10 scheduled workdays	10 business days
More than 10 scheduled workdays	30 calendar days

Employees should submit planned PTO through the approved HR or timekeeping system. The notice periods are planning standards, not automatic grounds to deny a legally protected absence. Employees are encouraged to request high-demand periods as early as possible.

Manager review

Managers should approve, deny, or request clarification within three business days. A request is not approved until the employee receives confirmation in the approved system or in writing. Managers must evaluate requests consistently and may consider staffing, client deadlines, approved requests, specialized coverage, length of absence, timing, and reasonable alternatives.

- **If approved.** The employee confirms coverage, updates calendars appropriately, and completes any required handoff.
- **If denied.** The manager records a business reason and, when practical, offers alternative dates.
- **If unresolved.** The employee may ask People Operations to review whether the policy was applied consistently or whether protected leave may be involved.

Unplanned absences

When advance notice is not practical, employees must notify their manager as soon as possible, preferably before the scheduled start time and ordinarily no later than one hour after it. If the employee cannot provide notice, another person may do so. Employees should state the expected duration and work impact, but are not required to disclose a diagnosis or protected medical information to a manager.

Unless the absence has an approved duration, the employee must provide a status update each scheduled workday. Repeated failure to follow reasonable notice procedures may result in corrective action when the failure is not protected or caused by circumstances beyond the employee's control.

7 Approval Priorities and Scheduling Conflicts

Northstar will make reasonable efforts to honor PTO preferences while maintaining client service and essential operations. Approval is not based solely on seniority or submission order, although an earlier approved request is a relevant factor. Managers should rotate access to high-demand periods when practical and avoid favoritism or discrimination.

- **Protected leave controls.** A manager must refer a request to People Operations when the reason may qualify for protected sick, family, medical, disability, pregnancy, military, jury, safety, or other statutory leave.
- **Blackout periods.** A department may identify limited high-demand periods with advance notice. A blackout does not override protected leave or an approved accommodation.

- **Previously approved PTO.** Northstar may cancel approved PTO only for a substantial business need. The approving department will reimburse reasonable, documented, nonrefundable change costs caused by the cancellation, subject to the Business Expense Reimbursement Policy.
- **Extended absences.** An absence of more than five consecutive scheduled workdays, or any absence that may involve a serious health condition or recurring need, must be referred to People Operations for leave coordination.

8 Recording and Corrections

Employees are responsible for recording PTO accurately in the approved system by the timekeeping deadline. Nonexempt employees record the actual scheduled hours missed. Exempt employees record time in the permitted increments. Managers review entries for consistency with approvals and must not direct employees to misclassify PTO or work off the clock.

Employees should review each pay statement and PTO balance. Suspected errors must be reported promptly to the manager and People Operations. Northstar will investigate and correct confirmed errors, including restoring PTO used for a company holiday, approved business work, or a leave category that should not have been charged to PTO.

PTO request workflow

1. **Submit.** Employee enters dates, hours, and any nonmedical planning information needed for coverage.
2. **Review.** Manager checks available balance, business coverage, existing approvals, and possible protected-leave indicators.
3. **Decide.** Manager approves, denies with a documented reason, proposes alternatives, or refers the matter to People Operations.
4. **Record.** Employee verifies that approved and used hours appear correctly in the timekeeping system.
5. **Correct.** Employee or manager reports discrepancies promptly; People Operations or Payroll documents the correction.

9 Coordination With Leaves and Accommodations

PTO may run concurrently with unpaid family, medical, military, disability, workers' compensation, or other protected leave when permitted by law and the applicable leave policy. Northstar may require available PTO to be used during an otherwise unpaid leave where lawful, but employees may retain PTO when a controlling law grants that choice.

Employees do not need to identify a legal leave category. Managers must contact People Operations when information suggests a recurring condition, hospitalization, pregnancy-related limitation, caregiving need, workplace injury, disability, or other potentially protected circumstance. People Operations will provide notices, coordinate documentation, and keep medical information separate from ordinary personnel records.

PTO does not extend an approved leave or guarantee reinstatement beyond the rights provided by law or company policy. Employees who need an accommodation affecting attendance or scheduling should contact People Operations.

10 Separation and Status Changes

Payout at separation

Northstar pays an employee's unused accrued PTO balance at separation at the employee's final regular base rate, subject to applicable law. Unapproved future requests do not reduce the payout. PTO does not continue accruing after the final day worked unless law requires otherwise.

PTO may not be used to extend employment beyond the last day worked or replace requested resignation notice unless the manager and People Operations approve. Northstar will not deduct a negative PTO balance from final wages without valid written authorization and legal review.

Changes in eligibility

If an employee moves to a schedule below the eligibility threshold, future accrual stops at the effective date of the change. The employee retains the accrued balance and may use it with approval or receive it at separation. If the employee later returns to an eligible schedule without a break in service, accrual resumes under the applicable service tier.

Rehire

Because Northstar pays accrued PTO at separation, a rehired employee normally starts with a zero balance and a new service date for PTO purposes. A different result applies when required by law or stated in a written rehire offer or local supplement.

11 Roles and Responsibilities

Role	Responsibilities
Employees	Plan foreseeable PTO, submit requests, provide timely absence notice, arrange reasonable handoffs, record time accurately, and review balances.
Managers	Review requests promptly and consistently, protect confidential information, maintain coverage, identify possible protected leave, and approve accurate records.
People Operations	Interpret the policy, administer eligibility and leave coordination, review exceptions and disputes, maintain local supplements, and monitor consistent application.
Payroll	Post accruals, process approved corrections and payouts, preserve payroll records, and apply lawful tax and wage treatment.

12 Compliance Exceptions and Questions

Northstar prohibits retaliation or interference because an employee requests or uses PTO in good faith, raises a pay or balance concern, requests an accommodation, or exercises a protected leave right. Employees should report concerns to their manager, another manager, or People Operations under the Workplace Concern and HR Case Procedure.

People Operations may approve a documented exception when it is lawful, consistent with the purpose of this policy, and supported by unusual business or employee circumstances. Managers may not create informal department rules that reduce employee rights or change accrual, carryover, payout, or notice requirements.

Northstar may revise this policy prospectively. Changes will not remove PTO already accrued when applicable law treats the balance as earned wages. Questions about eligibility, balances, protected use, payout, or local requirements should be directed to People Operations before action is taken.

13 Administration Examples

Situation	Policy result
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Situation	Policy result
A full-time employee with one year of service	Accrues 120 hours per year in prorated payroll credits and may carry the unused balance up to 180 hours.
A 30-hour-per-week employee with four years of service	Accrues 75 percent of the 160-hour tier, or 120 hours per year, subject to payroll rounding.
An employee reaches the balance cap	Accrual pauses. It resumes prospectively after approved PTO reduces the balance below the cap.
A holiday occurs during approved vacation	The holiday is not charged to PTO unless the employee was scheduled to work and the holiday policy does not provide separate pay.
An employee requests PTO for an ongoing medical need	The manager refers the matter to People Operations; PTO may coordinate with protected leave or an accommodation.
Employment ends with 46 accrued hours	Northstar pays 46 hours at the employee's final regular base rate, subject to applicable law.

Related Documents

- **Employee Handbook.** Provides the companywide employment framework and general time-away expectations.
- **Family and Medical Leave Policy.** Explains eligibility, notices, certification, benefits, job protection, and return-to-work procedures.
- **Parental and Caregiver Leave Policy.** Defines company-provided and legally protected leave for qualifying family needs.
- **Workplace Concern and HR Case Procedure.** Provides channels for reporting inconsistent application, retaliation, or other concerns.
- **Business Expense Reimbursement Policy.** Governs reimbursement when previously approved PTO is canceled for a substantial business need.